

3.6.4 Analysing the financial performance of a business

Content	Additional information
• Purpose of financial statements • Components of financial statements • Interpretation of data given on financial statements	Students should be able to: • understand the importance of financial statements for assessing business performance and helping make business decisions • identify the main components of the income statement and the statement of financial position • understand the difference between assets and liabilities and that the statement of financial position is a snapshot in time • make judgements on the performance of a business through the interpretation of the information contained in income statements • consider current performance, performance against previous years, performance against competitors and performance from the perspective of a range of stakeholders • calculate gross profit margin and net profit margin to help assess financial performance. Students will not be given formulae in an exam.